

SENATE BILL 1596

By Haile

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 56 and Title 67, Chapter 4, relative to tax
credits.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 67, Chapter 4, Part 20, is amended by
adding the following as a new section:

67-4-2024.

(a) As used in this section:

(1) "Eligible charitable organization" means an organization that is
approved by the office as meeting the eligibility criteria established in subsection
(e), and that:

(A) Is exempt from federal income taxation under § 501(c)(3) of
the Internal Revenue Code (26 U.S.C. § 501(c)(3));

(B) Is a nonprofit organization formed under title 48;

(C) Has residents of this state comprising at least fifty percent
(50%) of the organization's beneficiaries, clients, or users; and

(D) Has residents of a tier 3 or tier 4 enhancement county, as
defined in § 67-4-2109(a)(2)(C), comprising at least twenty-five percent
(25%) of the organization's beneficiaries, clients, or users;

(2) "Office" means the governor's office of faith-based and community
initiatives established pursuant to title 4, chapter 32; and

(3) "Qualified business" means a taxpayer subject to tax under this part
and part 21 of this chapter, including a C corporation, S corporation, limited

liability company, or limited liability partnership, that is approved by the department for the tax credit in this section.

(b) For tax years beginning on or after January 1, 2027, but prior to January 1, 2032, there is allowed a credit of fifty percent (50%) of a monetary contribution made by a qualified business to an eligible charitable organization against the taxes imposed pursuant to this part and part 21 of this chapter in the tax year in which the contribution is made.

(c) The credit allowed under subsection (b) must not exceed five thousand dollars (\$5,000) per qualified business for each contribution made to an eligible charitable organization in a tax year.

(d) For credits allocated during a tax year from contributions to eligible charitable organizations, no more than twenty percent (20%) of the credits may be allocated for contributions to a single eligible charitable organization, and no more than ten (10) eligible charitable organizations may be approved by the office.

(e) To be approved as an eligible charitable organization, the organization must submit an application to the office that describes its specific projects and how the contributions made to the organization are to be used for each project, and that demonstrates that the organization's projects expand this state's values of volunteerism and human flourishing, as determined by the office. The application must be accompanied by a written certification, signed by an officer of the organization under penalty of perjury, confirming the organization's eligibility under the criteria established in subdivisions (a)(1)(A)-(D) and this subsection (e).

(f) The office shall review each application submitted by an organization pursuant to subsection (e) and determine whether the organization meets all the criteria to be considered an eligible charitable organization and notify the organization of its

determination. The organization shall notify the office within sixty (60) days of any changes that may adversely affect the organization's eligibility status. An organization approved by the office in a tax year must reapply to be approved in a subsequent tax year, and must not be approved for more than three (3) consecutive tax years.

(g) To claim a credit, the taxpayer shall file an application with the commissioner on a form prescribed by the commissioner. The taxpayer shall provide the name of the eligible charitable organization receiving funds from the taxpayer and the amount of the contribution. In the application, the taxpayer shall certify to the department the dollar amount of the contributions made to the eligible charitable organization during the tax year and provide evidence of the contributions as required by the department.

(h) The commissioner may conduct audits or require the filing of additional information necessary to substantiate or adjust the amount of the credit allowed by this section and to determine that the taxpayer has complied with all statutory requirements for the credit.

(i) The commissioner shall review the documentation submitted by the taxpayer and notify the taxpayer of the approved credit.

(j) Unused credit may be carried forward in any tax period until the credit is taken; provided, however, that the credit must not be carried forward for more than twenty-five (25) years.

(k) The commissioner is authorized to promulgate rules to effectuate the purposes of this section. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(l) On or before January 1, 2027, the department shall submit a one-time report to the finance, ways and means committee of the senate and the committee of the house of representatives having jurisdiction over finance matters, setting forth the clear,

relevant, and ascertainable metrics and data requirements that the department will track under this section in order to allow the general assembly to measure the effectiveness of the tax expenditure allowed in this section.

SECTION 2. For purposes of promulgating forms, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.